Stock Reserve Account

20X1		₹	20X1		₹
Dec. 31	To Balance c/d	746	Jan. 1	By Balance b/d	693
	(4,565 + 3,641) x 10/110			By Revenue A/c (b.f.)	53
		746			**746**

Revenue Account

20X1		₹	20X1		₹
Dec. 31	To Stock Reserve	53	Dec. 31	By Balance b/d	43,210
	To Balance c/d	43,157			
		43,210			**43,210**

Branch Books

Head Office Account

20X1		₹	20X1		₹
Dec. 31	To Current Assets	750	Dec. 31	By Balance b/d	22,645
	To Balance c/d	28,036		By Goods in transit	3,641
				By Motor Vehicle	2,500
		28,786			**28,786**

Goods in Transit Account

20X1		₹	20X1		₹
Dec. 31	To Head Office	3,641	Dec. 31	By Balance c/d	3,641

Motor Vehicle Account

20X1		₹	20X1		₹
Dec. 31	To Head Office	2,500	Dec. 31	By Balance c/d	2,500

Sundry Current Assets A/c

20X1		₹	20X1		₹
Dec. 31	To Balance b/d	23,715	Dec. 31	By H.O. (Remit. by Debtor)	750
				By Balance c/d	22,965
		23,715			**23,715**

Question 27

KP manufactures a range of goods which it sells to wholesale customers only from its head office. In addition, the H.O. transfers goods to a newly opened branch at factory cost plus 15%. The branch then sells these goods to the general public on only cash basis.

The selling price to wholesale customers is designed to give a factory profit which amounts to 30% of the sales value. The selling price to the general public is designed to give a gross margin (i.e., selling price less cost of goods from H.O.) of 30% of the sales value.

KP operates from rented premises and leases all other types of fixed assets. The rent and hire charges for these are included in the overhead costs shown in the trial balances.

From the information given below, you are required to prepare for the year ended 31st Dec., 20X1 in columnar form.

(a) A Profit & Loss account for (i) H.O. (ii) the branch (iii) the entire business.

(b) Balance Sheet as on 31st Dec., 20X1 for the entire business.

	H.O. (₹)		Branch (₹)	
	Dr.	Cr.	Dr.	Cr.
Raw materials purchased	35,000			
Direct wages	1,08,500			
Factory overheads	39,000			
Stock on 1-1-20X1:				
Raw materials	1,800			
Finished goods	13,000		9,200	
Debtors	37,000			
Cash	22,000		1,000	
Administrative Salaries	13,900		4,000	
Salesmen Salaries	22,500		6,200	
Other administrative & selling overheads	12,500		2,300	
Inter-unit accounts	5,000			2,000
Capital		50,000		
Sundry Creditors		13,000		
Provision for unrealized profit in stock		1,200		
Sales		2,00,000		65,200
Goods sent to Branch		46,000		
Goods received from H.O.			44,500	
	3,10,200	**3,10,200**	**67,200**	**67,200**

Note:

(1) On 28th Dec., 20X1 the branch remitted ₹ 1,500 to the H.O. and this has not yet been recorded in the H.O. books. Also, on the same date, the H.O. dispatched goods to the branch invoiced at ₹ 1,500 and these too have not yet been entered into the branch books. It is the company's policy to adjust items in transit in the books of the recipient.

(2) The stock of raw materials held at the H.O. on 31st Dec., 20X1 was valued at ₹ 2,300.

(3) You are advised that:

- there were no stock losses incurred at the H.O. or at the branch.
- it is KP's practice to value finished goods stock at the H.O. at factory cost.
- there were no opening or closing stock of work-in-progress.

(4) Branch employees are entitled to a bonus of ₹ 156 under a bilateral agreement.

Answer

In the books of KP

Trading and Profit & Loss Account for the year ended 31st Dec., 20X1

	H.O.	Branch	Total		H.O.	Branch	Total
To Opening stock of finished goods	13,000	9,200	22,200	By Sales	2,00,000	65,200	2,65,200
				By Goods Sent to Br.	46,000	–	–
To Material Consumed (W.N.1)	34,500	–	34,500	By Closing stock including transit (W.N.2)	15,000	9,560 (B.F.)	24,560
To Wages	1,08,500	–	1,08,500				
To Factory O/H	39,000	–	39,000				
To Goods from H.O.		46,000					
To Gross Profit c/d (W.N.3)	66,000 (Bal Fig)	19,560	85,560				
	2,61,000	**74,760**	**2,89,760**		**2,61,000**	**74,760**	**2,89,760**
To Admn. Salaries	13,900	4,000	17,900	By Gross Profit b/d	66,000	19,560	85,560
To Salesmen Salaries	22,500	6,200	28,700				
To Other Admn. & selling O/H	12,500	2,300	14,800				
To Stock Reserve (W.N.4)	47	–	47				
To Bonus to Staff	–	156	156				
To Net Profit	17,053	6,904	23,957				
	66,000	**19,560**	**85,560**		**66,000**	**19,560**	**85,560**

Balance Sheet as on 31st Dec., 20X1

		H.O.	Branch	Total		H.O.	Branch	Total
Capital		50,000	–	50,000	Current Asset:			
Profit: HO	17,053				Raw material	2,300		2,300
Branch	6,904	23,957		23,957	Finish Goods	15,000	9,560	23,313*
Creditors		13,000		13,000	(Less Stock Res.)			
Bonus Payable			156	156	Debtors	37,000	–	37,000
H.O. Account*			10,404		Cash (including CIT)	23,500	1,000	24,500
Stock Reserve (W.N. 4)		1,247			Branch A/c	10,404**		
		88,204	**10,560**	**87,113**		**88,204**	**10,560**	**87,113**

*9,560 x 100/115 i.e., (8,313 + 15,000) = ₹ 23,313 or (15,000 + 9,560) – 1,247 (Stock reserve)

**(5,000 + 6,904) – 1500 = ₹ 10,404

Working Notes:

(1) Material consumed

Opening raw material + Raw Material Purchased – Closing raw material

= 1,800 + 35,000 – 2,300 = 34,500

(2) Closing stock at head office

(a) Calculation of total factor cost = Material consumed + Wages + Factory overhead

= 34,500 + 1,08,500 + 39,000 = 1,82,000

(b) Cost (factory cost) of goods sold = Sales – Gross profit = 2,00,000 – 2,00,000 x 30% = 1,40,000

(c) Stock transferred to branch = 46,000 x 100/115 = 40,000

(d) Closing stock = 13,000 (Opening Stock) + 1,82,000 – 1,40,000 – 40,000 = 15,000

(3) Gross profit of Branch = Sales x Gross profit ratio = 65,200 x 30% = 19,560

(4) Closing stock reserve = 9,560 x 15/115 = 1,247

Charge to profit and loss = 1,247 – 1,200 (existing) = 47

Question 28

Messrs Ramchand & Co., Hyderabad has a branch in Delhi. The Delhi Branch deals not only in the goods from Head Office but also buys some auxiliary goods and deals in them. They, however, do not prepare any Profit & Loss Account but close all accounts to the Head Office at the end of the year and open them afresh on the basis of advice from their Head Office. The fixed assets accounts are also maintained at the Head Office.

The goods from the Head Office are invoiced at selling prices to give a profit of 20 percent on the sale price. The goods sent from the branch to Head Office are at cost. From the following prepare Branch Trading and Profit & Loss Account and Branch fixed Assets Account in the Head Office Books.

Trial Balance of the Delhi Branch as on 31-12-20X1

Debit	**₹**	**Credit**	**₹**
Head office opening balance on 1-1-20X1	15,000	Sales	1,00,000
Goods from H.O.	50,000	Goods to H.O.	3,000
Purchases	20,000	Head Office Current A/c	15,000
Opening Stock:		Sundry Creditors	3,000
H.O. supplies goods at invoice prices	4,000		
Opening Stock of other goods	500		
Salaries	7,000		
Rent	3,000		
Office expenditure	2,000		
Cash on Hand	500		
Cash at Bank	4,000		
Sundry Debtors	15,000		
	1,21,000		**1,21,000**

The Branch balances as on 1st January, 20X1, were as under: Furniture ₹ 5,000; Sundry Debtors ₹ 9,500; Cash ₹ 1,000, Creditors ₹ 30,000. The closing stock at branch of the head office goods at invoice price is ₹ 3,000 and that of purchased goods at cost is ₹ 1,000. Depreciation is to be provided at 10 percent on branch assets.

Answer

Delhi Branch Trading and Profit & Loss Account for the year ended 31st Dec., 20X1

Particulars		**₹**	**Particulars**	**₹**
To Opening Stock:			By Sales	1,00,000
H.O. Goods (4,000 x 80%)	3,200		By Goods from Branch	3,000

Others	500	3,700	By Closing Stock:		
To Goods to Branch (50,000 x 80%)		40,000	H.O. Goods (3,000 x 80%)	2,400	
To Purchases		20,000	Others	1,000	3,400
To Gross Profit c/d		42,700			
		1,06,400			**1,06,400**
To Salaries		7,000	By Gross profit b/d		42,700
To Rent		3,000			
To Office Expenses		2,000			
To Dep. on furniture @ 10%		500			
To Net profit		30,200			
		42,700			**42,700**

Branch (Fixed) Assets Account (In Head Office Books)

Particulars	₹	Particulars	₹
To Balance b/d	5,000	By Delhi Branch A/c	500
		By Balance c/d	4,500
	5,000		**5,000**
To Balance b/d	4,500		

Question 29

AFFIX of Kolkata has a branch at Delhi to which the goods are supplied from Kolkata but the cost thereof is not recorded in the Head Office books. On 31st March, 20X1 the Branch Balance Sheet was as follows:

Liabilities	₹	Assets	₹
Creditors Balance	40,000	Debtors Balance	2,00,000
Head Office	1,68,000	Building Extension A/c closed by transfer to H.O. A/c	–
		Cash at Bank	8,000
	2,08,000		**2,08,000**

During the six months ending on 30-9-20X1, the following transactions took place at Delhi.

	₹		₹
Sales	2,40,000	Collections from Debtors	1,60,000
Purchases	48,000	Discounts allowed	8,000
Wages paid	20,000	Discount earned	1,200
Salaries (inclusive of advance of ₹ 2,000)	6,400	Cash paid to Creditors	60,000
General Expenses	1,600	Building Account (further payment)	4,000
Fire Insurance (paid for one year)	3,200	Cash in Hand	1,600
Remittance to H.O.	38,400	Cash at Bank	28,000
Manager's Salary	4,800		

Set out the Head Office Account in Delhi books and the Branch Balance Sheet as on 30-9-20X1. Also give journal entries in the Delhi books.

Answer

Journal Entries

S.No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Salary Advance A/c	Dr.	2,000	
	To Salaries A/c			2,000
	(The amount paid as advance adjusted by debit to Salary Advance Account)			
(ii)	Prepared Insurance A/c (3,200 x 6/12)	Dr.	1,600	
	To Fire Insurance A/c			1,600
	(Six months premium transferred to the Prepaid Insurance A/c)			
(iii)	Head Office Account	Dr.	88,400	
	To Purchases A/c			48,000
	To Wages A/c			20,000
	To Salaries A/c (6,400 – 2,000)			4,400
	To General Expenses A/c			1,600
	To Fire Insurance A/c (3,200 x 6/12)			1,600
	To Manager's Salary A/c			4,800
	To Discount Allowed A/c			8,000
	(Transfer of various revenue accounts (Dr.) to the H.O. Account for closing the accounts)			
(iv)	Sales Accounts	Dr.	2,40,000	
	Discount Earned A/c	Dr.	1,200	
	To Head Office A/c			2,41,200
	[Revenue accounts (Cr.) transferred to H.O.]			
	Head Office Account	Dr.	4,000	
	To Building Account			4,000
	(Transfer of amounts spent on building extension to H.O. A/c)			

Head Office Account

20X1		₹	20X1		₹
Sep. 30	To Cash - remittance	38,400	April 1	By Balance b/d	1,68,000
	To Sundries (Revenue A/cs)	88,400	Sep. 30	By Sundries (Revenue A/c)	2,41,200
	To Building A/c	4,000			
	To Balanced c/d	2,78,400			
		4,09,200			**4,09,200**

Balance Sheet of Delhi Branch as on Sept. 30, 20X1

Liabilities	₹	Assets	₹
Creditors Balances	26,800	Debtors Balances	2,72,000
Head Office Account	2,78,400	Salary Advance	2,000
		Prepaid Insurance	1,600

		Building Extension A/c trans. to H.O.	–
		Cash in Hand	1,600
		Cash at Bank	28,000
	3,05,200		**3,05,200**

Cash and Bank Account

	₹			₹
To Balance b/d	8,000	By Wages		20,000
To Collection from Debtors	1,60,000	By Salaries		6,400
		By Insurance		3,200
		By General Exp.		1,600
		By H.O. A/c		38,400
		By Manager's Salary		4,800
		By Creditors		60,000
		By Building A/c		4,000
		By Balance c/d:		
		Cash in Hand	1,600	
		Cash at Bank	28,000	29,600
	1,68,000			**1,68,000**

Debtors Account

Particulars	₹	**Particulars**	₹
To Balance b/d	2,00,000	By Cash Collection	1,60,000
To Sales	2,40,000	By Discount (allowed)	8,000
		By Balance c/d	2,72,000
	4,40,000		**4,40,000**
To Balance b/d	2,72,000		

Creditors Account

Particulars	₹	**Particulars**	₹
To Cash	60,000	By Balance b/d	40,000
To Discount (earned)	1,200	By Purchases	48,000
To Balance c/d	26,800		
	88,000		**88,000**
		By Balance b/d	26,800

Question 30

On 31st March, 20X2 Kanpur Branch submits the following Trial Balance to its Head Office at Lucknow:

Debit Balances	**₹ in lacs**
Furniture and Equipment	18
Depreciation on furniture	2

Salaries	25
Rent	10
Advertising	6
Telephone, Postage and Stationery	3
Sundry Office Expenses	1
Stock on 1st April, 20X1	60
Goods Received from Head Office	288
Debtors	20
Cash at bank and in hand	8
Carriage Inwards	7
	448
Credit Balances	
Outstanding Expenses	3
Goods Returned to Head Office	5
Sales	360
Head Office	80
	448

Additional Information:

Stock on 31st March, 20X2 was valued at ₹ 62 lacs. On 29th March, 20X2 the Head Office dispatched goods costing ₹ 10 lacs to its branch. Branch did not receive these goods before 1st April, 20X2. Hence, the figure of goods received from Head Office does not include these goods. Also, the head office has charged branch ₹ 1 lac for centralized services for which the branch has not passed the entry.

You are required to:

(i) Pass Journal Entries in the books of the Branch to make the necessary adjustments

(ii) Prepare Final Accounts of the Branch including Balance Sheet, and

(iii) Pass Journal Entries in the books of the Head Office to incorporate the whole of the Branch Trial Balance.

Answer

(i) Books of Branch Journal Entries **(₹ in lacs)**

Particulars		Amount (Dr.)	Amount (Cr.)
Goods in Transit A/c	Dr.	10	
To Head Office A/c			10
(Goods dispatched by head office but not received by branch before 1st April, 20X2)			
Expenses A/c	Dr.	1	
To Head Office A/c			1
(Amount charged by head office for centralised services)			

(ii) Trading and Profit & Loss Account of the Branch for the year ended 31st March, 20X2

Particulars	₹ in lacs	Particulars	₹ in lacs
To Opening Stock	60	By Sales	360

To Goods received from			By Closing Stock including transit	72
Head Office	288 + 10			
Less: Returns	(5)	293		
To Carriage Inwards		7		
To Gross Profit c/d		72		
		432		**432**
To Salaries		25	By Gross Profit b/d	72
To Depreciation on Furniture		2		
To Rent		10		
To Advertising		6		
To Telephone, Postage & Stationery		3		
To Sundry Office Expenses		1		
To H.O. Expenses (centralised services)		1		
To N.P. Transferred to Head Office A/c		24		
		72		**72**

Balance Sheet as on 31st March, 20X2

Liabilities		**₹ in lacs**	**Assets**		**₹ in lacs**
Head Office	80		Furniture & Equipment	20	
Add: Goods in Transit	10		Less: Depreciation	(2)	18
Head Office Expenses	1		Stock in hand		62
Net Profit	24	115	Goods in Transit		10
Outstanding Expenses		3	Debtors		20
			Cash at bank and in hand		8
		118			**118**

(iii) Books of Head Office

Journal Entries **(₹ in lacs)**

Particulars		**Amount (Dr.)**	**Amount (Cr.)**
Branch Trading Account	Dr.	365	
To Branch Account			365
(The total of the following items in branch trial balance debited to branch trading account:			
Opening Stock	60		
Goods received from Head Office	288		
Goods purchased but not received	10		
Carriage Inwards	7)		
Branch Account	Dr.	437	
To Branch Trading Account			437
(Total sales, closing stock and goods returned to Head Office credited to branch trading account, individual amount being as follows:			

Sales	360			
Closing Stock	62			
Goods in transit	10			
Goods returned to Head Office	5)			
Branch Trading Account		Dr.	72	
To Branch Profit and Loss Account				72
(Gross profit earned by branch credited to Branch Profit and Loss Account)				
Branch Profit and Loss Account		Dr.	48	
To Branch Account				48
(Total of the following branch expenses debited to Branch Profit & Loss Account:				
Salaries	25			
Rent	10			
Advertising	6			
Telephone, Postage & Stationery	3			
Sundry Office Expenses	1			
Head Office Expenses	1			
Depreciation on furniture	2)			
Branch Profit & Loss Account		Dr.	24	
To Profit and Loss Account				24
(Net profit at branch credited to general Profit & Loss A/c)				
Branch Furniture & Equipment		Dr.	18	
Branch Stock		Dr.	62	
Branch Debtors		Dr.	20	
Branch Cash at Bank and in Hand		Dr.	8	
Goods in Transit		Dr.	10	
To Branch				118
(Incorporation of different assets at the branch in H.O. books)				
Branch		Dr.	3	
To Branch Outstanding Expenses				3
(Incorporation of Branch Outstanding Expenses in H.O. books)				

Accounting of Foreign Branch

Question 31

A business having the Head Office in Kolkata has a branch in UK. The following is the trial balance of Branch as at 31.03.20X4:

Account Name	Amount in £	
	Dr.	Cr.

Machinery (purchased on 01.04.20X1)	5,000	
Debtors	1,600	
Opening Stock	400	
Goods received from Head Office Account (Recorded in HO books as ₹ 4,02,000)	6,100	
Sales		20,000
Purchases	10,000	
Wages	1,000	
Salaries	1,200	
Cash	3,200	
Remittances to Head Office (Recorded in HO books as ₹ 1,91,000)	2,900	
Head Office Account (Recorded in HO books as ₹ 4,90,000)		7,400
Creditors		4,000

- Closing stock at branch is £ 700 on 31.03.20X4.
- Depreciation @ 10% p.a. is to be charged on Machinery.
- Prepare the trial balance after been converted in Indian Rupees.
- Exchange rates of Pounds on different dates are as follow:

  01.04.20X1 - ₹ 61; 01.04.20X3 - ₹ 63 & 31.03.20X4 - ₹ 67

Answer

Trial Balance of the Foreign Branch converted into Indian Rupees as on March 31, 20X4

Particulars	£ (Dr.)	£ (Cr.)	Conversion Basis	₹ (Dr.)	₹ (Cr.)
Machinery	5,000		Transaction date rate	3,05,000	
Debtors	1,600		Closing Rate	1,07,200	
Opening Stock	400		Opening Rate	25,200	
Goods Received from HO	6,100		Actuals	4,02,000	
Sales		20,000	Average Rate		13,00,000
Purchases	10,000		Average Rate	6,50,000	
Wages	1,000		Average Rate	65,000	
Salaries	1,200		Average Rate	78,000	
Cash	3,200		Closing Rate	2,14,400	
Remittance to HO	2,900		Actuals	1,91,000	
HO Account		7,400	Actuals		4,90,000
Creditors		4,000	Closing Rate		2,68,000
Exchange Rate Difference			Balancing Figure	20,200	
	31,400	**31,400**		**20,58,000**	**20,58,000**
Closing Stock	700		Closing Rate	46,900	
Depreciation	500		Fixed Asset Rate	30,500	

Question 32

S&M Ltd., Bombay, have a branch in Sydney, Australia. Sydney branch is an integral foreign operation of S&M Ltd.

At the end of 31st March, 20X2, the following ledger balances have been extracted from the books of the Bombay Office and the Sydney Office:

Particulars	Bombay (₹ thousands)		Sydney (A $ thousands)	
	Debit	Credit	Debit	Credit
Share Capital	–	2,000	–	–
Reserves & Surplus	–	1,000	–	–
Land	500	–	–	–
Buildings (Cost)	1,000	–	–	–
Buildings Dep. Reserve	–	200	–	–
Plant & Machinery (Cost)	2,500	–	200	–
Plant & Machinery Dep. Reserve	–	600	–	130
Debtors/Creditors	280	200	60	30
Stock (1.4.20X1)	100	–	20	–
Branch Stock Reserve	–	4	–	–
Cash & Bank Balances	10	–	10	–
Purchases / Sales	240	520	20	123
Goods sent to Branch	–	100	5	–
Managing Director's salary	30	–	–	–
Wages & Salaries	75	–	45	–
Rent	–	–	12	–
Office Expenses	25	–	18	–
Commission Receipts	–	256	–	100
Branch/H.O. Current A/c	120	–	–	7
	4,880	**4,880**	**390**	**390**

The following information is also available:

(1) Stock as at 31.3.20X2:

Bombay	₹ 1,50,000
Sydney	A $ 3,125

You are required to convert the Sydney Branch Trial Balance into rupees.

Use the following rates of exchange:

Opening rate	A $ = ₹ 20
Closing rate	A $ = ₹ 24
Average rate	A $ = ₹ 22
For Fixed Assets	A $ = ₹ 18

Answer

Sydney Branch Trial Balance (in Rupees) as on 31st March, 20X2 **(₹ '000)**

Conversion	Rate per A$	Dr.	Cr.
Plant & Machinery (cost)	₹ 18	36,00	–
Plant & Machinery Dep. Reserve	₹ 18	–	23,40
Debtors/Creditors	₹ 24	14,40	7,20
Stock (1.4.20X1)	₹ 20	4,00	–
Cash & Bank Balances	₹ 24	2,40	–
Purchase/Sales	₹ 22	4,40	27,06
Goods received from H.O.	–	1,00	–
Wages & Salaries	₹ 22	9,90	–
Rent	₹ 22	2,64	–
Office expenses	₹ 22	3,96	–
Commission Receipts	₹ 22	–	22,00
H.O. Current A/c		–	1,20
		78,70	**80,86**
Exchange loss (balancing figure)		2,16	
		80,86	**80,86**

Question 33

Artis Limited has a branch at Seattle USA. Its Trial Balance as on 31th December 20X1 is as follows:

	Dr. in US $	Cr. in US $
Stock as on 01.01.20X1	22,000	
Purchases	1,00,000	
Sales		1,30,500
Goods from H.O.	30,000	
Salaries	4,000	
Head Office A/c.		27,000
Sundry Debtors	2,200	
Sundry Creditors		1,500
Cash at Bank & Hand	800	
Total	**1,59,000**	**1,59,000**

The following information is given:

(i) Salaries outstanding are $ 500.

(ii) The Head Office sent goods to Branch for ₹ 24,00,000.

(iii) The Head Office shows an amount of ₹ 21,90,000 due from Branch. The exchange rates were as below:

- On 1st January 20X1 - ₹ 79 to 1$
- On 31st December 20X1 - ₹ 83 to 1 $
- Average rate during the year was ₹ 79.50 to 1 $

You are required to prepare Seattle Branch Trial Balance incorporating adjustments given above, converting dollars into rupees.

Answer

Seattle Branch Trial balance (in ₹)

Particulars	Rate as per (₹)	Debit (₹)	Credit (₹)
Stock (01-01-20X1)	79.00	17,38,000	
Purchases	79.50	79,50,000	
Sales	79.50		1,03,74,750
Goods from HO	Given	24,00,000	
Salaries ($ 4,000 + $ 500 = $ 4,500 x ₹ 79.50)	79.50	3,57,750	
Head Office A/c	Given		21,90,000
Sundry Debtors	83.00	1,82,600	
Sundry Creditors	83.00		1,24,500
Cash at Bank & Hand	83.00	66,400	
Salaries Outstanding ($ 500 x ₹ 83)	83.00		41,500
Exchange gain		36,000	
Total		**1,27,30,750**	**1,27,30,750**

Question 34

Karan Enterprises having its Head Office in Mangalore, Karnataka has a branch in Greenville, USA. Following is the trial balance of Branch as at 31-3-20X4:

Particulars	Amount ($) Dr.	Amount ($) Cr.
Fixed assets	8,000	
Opening inventory	800	
Cash	700	
Goods received from Head Office	2,800	
Sales		24,050
Purchases	11,800	
Expenses	1,800	
Remittance to head office	2,450	
Head office account		4,300
	28,350	**28,350**

(i) Fixed assets were purchased on 1st April, 20X0.

(ii) Depreciation at 10% p.a. is to be charged on fixed assets on straight line method.

(iii) Closing inventory at branch is $ 700 as on 31-3-20X4.

(iv) Goods received from Head Office (HO) were recorded at ₹ 1,85,500 in HO books.

(v) Remittances to HO were recorded at ₹ 1,62,000 in HO books.

(vi) HO account is recorded in HO books at ₹ 2,84,500.

(vii) Exchange rates of US Dollar at different dates can be taken as:

1-4-20X0	₹ 63
1-4-20X3	₹ 65
31-3-20X4	₹ 67

Prepare the trial balance after been converted into Indian rupees in accordance with AS-11.

Answer

Trial Balance of Foreign Branch (converted into Indian Rupees) as on March 31, 20X4

Particulars	$ (Dr.)	$ (Cr.)	Conversion Basis	Rate	₹ (Dr.)	₹ (Cr.)
Fixed Assets	8,000		Transaction Date Rate	63	5,04,000	
Opening Inventory	800		Opening Rate	65	52,000	
Goods Received from HO	2,800		Actuals		1,85,500	
Sales		24,050	Average Rate	66		15,87,300
Purchases	11,800		Average Rate	66	7,78,800	
Expenses	1,800		Average Rate	66	1,18,800	
Cash	700		Closing Rate	67	46,900	
Remittance to HO	2,450		Actuals		1,62,000	
HO Account		4,300	Actuals			2,84,500
Exchange Rate Difference			Balancing Figure		23,800	
	28,350	**28,350**			**18,71,800**	**18,71,800**
Closing Stock	700		Closing Rate	67	46,900	
Depreciation	800		Fixed Asset Rate	63	50,400	

Question 35

Smart Limited is an Indian Company and has its Branch at New York. The following balances in respect of Smart Limited's USA Branch office are provided:

(i) Debit Balances (in USD)

Expenditure (excluding Depreciation):	1,03,095
Cash & bank balances:	2,175
Debtors:	7,365
Fixed Assets (Gross):	34,200
(Rate of Depreciation on Fixed Assets: 20%)	
Inventory-Stock 'P':	5,520
Inventory- Stock 'Q':	1,035

(ii) Credit Balances (in USD)

Incomes:	1,32,000
Creditors:	15,570
HO Control A/c:	5,820

The following additional information is provided:

(1) The average exchange rate during the above financial year was 1 USD = ₹ 56

(2) The fixed assets were purchased when the exchange rate was 1 USD = ₹ 55

(3) The closing exchange rate on reporting date is 1 USD = ₹ 58

(4) Stock item 'P' is valued at cost of USD 5,520, purchased when the exchange rate was ₹ 56.50. The present net realizable value of this item is ₹ 2,85,000.

(5) Stock item 'Q' is carried at net realizable value of USD 1,035, but its cost in USD is 1,065, It was purchased when exchange rate was 1 USD = ₹ 53.

(6) Branch Control Account as per HO books was ₹ 2,66,265

You are required to show how it will be reflected in the books of Head Office in the form of Trial Balance, if the USA Branch Office is classified as an Integral Foreign Operation.

Answer

Converted branch trail balance (in the books of head office)

Particular	Dr. $	Cr. $	Rate per $	Dr. (₹)	Cr. (₹)
Expenditure	1,03,095		56	57,73,320	
Cash & bank balance	2,175		58	1,26,150	
Debtors	7,365		58	4,27,170	
Fixed assets	27,360		55	15,04,800	
Depreciation 20%	6,840		55	3,76,200	
Inventory P	5,520		Direct	2,85,000	
Inventory Q	1,065		53	56,445	
Income		1,32,000	56		73,92,000
Creditors		15,570	58		9,03,060
HO control A/c		5,820			2,66,265
Exchange difference				12,240	
				85,61,325	**85,61,325**

Working Note:

Inventory P	$ 5,520	Inventory Q	$ 1,065
Purchased Cost rate	56.50	NRV	$ 1,035
NRV	₹ 2,85,000	Closing rate	58
Cost	₹ 3,11,880	Purchased Cost rate	53
Value at cost or NRV whichever is less	₹ 2,85,000	Value at cost or NRV whichever is less	$ 1,035 @ ₹ 58 or $ 1,065 @ ₹ 53 = 56,445 or 60,030

Question 36

PQR has a branch at Houston (USA). Business of the Branch is carried out substantially independent by way of accumulating cash and other monetary items, incurring expenses, generating income and arranging borrowing in its local currency. The trial balance of the Branch as at 31st March, 20X2 is as follows:

	US$	
Particulars	**Debit**	**Credit**
Office equipment (Cost)	56,400	
Opening Accumulated Depreciation (Office equipment)		5,400

Furniture and Fixtures (Cost)	36,000	
Opening Accumulated Depreciation (Furniture and Fixtures)		6,840
Opening Stock as on 1st April, 20X1	24,500	
Purchases	96,500	
Sales		1,76,250
Salaries	4,250	
Carriage inward	256	
Rent, Rates & Taxes	956	
Trade receivables	12,560	
Trade payables		8,650
Cash at bank	2,540	
Cash in hand	500	
Head office Account		37,322
Total	**2,34,462**	**2,34,462**

Following further information are given:

(i) Salaries outstanding as on 31st March, 20X2 is US$ 600.

(ii) Depreciate office equipment and furniture & fixtures @ 10% at written down value.

(iii) Closing stock as on 31st March, 20X2 is US $, 24,650.

(iv) You are informed that the Head office is showing receivable from the Branch as ₹ 23,75,614 as on 31st March, 20X2. No transaction in respect of the Branch is pending in Head office.

(v) Office equipment (cost) includes one office equipment of US $ 2,400 purchased on 1/04/20X1.

(vi) One furniture of carrying value of US $ 450 as on 01/04/20X1 (cost: US $ 500 and Accumulated depreciation: US $ 50) has been sold for US $ 405 on 31/03/20X2 to Mr. M at no profit no loss. Mr. M has not paid the amount till the finalization of branch account. No entry has been passed for this sale of furniture in the above trial balance.

(vii) The rate of exchange on different dates are:

Date	1 US $ is equivalent to
1st April, 20X1	₹ 64
31st December, 20X1	₹ 70
31st March, 20X2	₹ 75
Average for the year	₹ 72

You are required to prepare the trial Balance after incorporating adjustments given and converting US $ into rupees.

Answer

In the books of PQR

Trial Balance (in Rupees) Branch Non-Integral foreign operation as on 31st March, 20X2

	Dr. US $	Cr. US $	Conv. rate	Dr. ₹	Cr. ₹
Office Equipment	56,400		75	42,30,000	
Dep. Equipment (Accumulated)		10,500	75		7,87,500

(5,400 + 5,100)					
Depreciation	8,016		75	6,01,200	
Furniture (36,000 – 500)	35,500		75	26,62,500	
Dep. on furniture (Accumulated)		9,661	75		7,24,575
(6,840 – 50 – 45 + 2,916)					
Stock (1st April, 20X1)	24,500		64	15,68,000	
Purchases	96,500		72	69,48,000	
Sales		1,76,250	72		126,90,000
Carriage inward	256		72	18,432	
Salaries (4,250 + 600)	4,850		72	3,49,200	
Rent, rates and taxes	956		72	68,832	
Salaries payable		600	75		45,000
Head Office A/c		37,322			23,75,614
Trade receivables	12,560		75	9,42,000	
Trade payables		8,650	75		6,48,750
Cash at bank	2,540		75	1,90,500	
Cash in hand	500		75	37,500	
Mr. M (Receivable for sale of furniture)	405		75	30,375	
Exchange gain (bal. fig.)					3,75,100
	2,42,983	**2,42,983**		**1,76,46,539**	**1,76,46,539**

Closing stock = 24,650 US$ x ₹ 75 = ₹ 18,48,750

Question 37

On 31st December, 20X2 the following balances appeared in the books of Chennai Branch of an English firm having its HO office in New York:

	Amount in ₹	**Amount in ₹**
Stock on 1st Jan., 20X2	2,34,000	–
Purchases and Sales	15,62,500	23,43,750
Debtors and Creditors	7,65,000	5,10,000
Bills Receivable and Payable	2,04,000	1,78,500
Salaries and Wages	1,00,000	–
Rent, Rates and Taxes	1,06,250	–
Furniture	91,000	–
Bank A/c	5,68,650	–
New York Account	–	5,99,150
	36,31,400	**36,31,400**

Stock on 31st December, 20X2 was ₹ 6,37,500.

Branch account in New York books showed a debit balance of $ 13,400 on 31st December, 20X2 and Furniture appeared in the Head Office books at $ 1,750.

The rate of exchange for 1 $ on 31st December, 20X1 was ₹ 52 and on 31st December, 20X2 was ₹ 51. The average rate for the year was ₹ 50.

Prepare in the Head Office books the Profit and Loss a/c and the Balance Sheet of the Branch assuming integral foreign operation.

Answer

In the books of English Firm (Head Office in New York)

Chennai Branch Profit and Loss Account for the year ended 31st December, 20X2

Particulars	$	Particulars	$
To Opening stock	4,500	By Sales	46,875
To Purchases	31,250	By Closing stock (6,37,500/51)	12,500
To Gross profit c/d	23,625		
	59,375		**59,375**
To Salaries	2,000	By Gross profit b/d	23,625
To Rent, rates and taxes	2,125		
To Exchange translation loss	2,000		
To Net Profit c/d	17,500		
	23,625		**23,625**

Balance Sheet of Chennai Branch as on 31st December, 20X2

Liabilities		$	Assets	$
Head Office A/c	13,400		Furniture	1,750
Add: Net profit	17,500	30,900	Closing Stock	12,500
Trade creditors		10,000	Trade Debtors	15,000
Bills Payable		3,500	Bills Receivable	4,000
			Cash at bank	11,150
		44,400		**44,400**

Working Note: Calculation of Exchange Translation Loss

Chennai Branch Trial Balance (converted in $) as on 31st December, 20X2

	Dr. (₹)	Cr. (₹)	Conversion	Dr. ($)	Cr. ($)
Stock on 1st Jan., 20X2	2,34,000		52	4,500	
Purchases & Sales	15,62,500	23,43,750	50	31,250	46,875
Debtors & creditors	7,65,000	5,10,000	51	15,000	10,000
Bills Receivable and Bills Payable	2,04,000	1,78,500	51	4,000	3,500
Salaries and wages	1,00,000		50	2,000	
Rent, Rates and Taxes	1,06,250		50	2,125	
Furniture	91,000			1,750	
Bank A/c	5,68,650		51	11,150	
New York Account		5,99,150			13,400
Exchange translation loss (bal. fig.)				2,000	
	36,31,400	**36,31,400**		**73,775**	**73,775**

Question 38

M/s Carlin has head office at New York (U.S.A.) and branch at Mumbai (India). Mumbai branch is an integral foreign operation of Carlin & Co.

Mumbai branch furnishes you with its trial balance as on 31st March, 20X2 and the additional information given thereafter:

(₹ '000)

	Dr.	Cr.
Stock on 1st April, 20X1	300	–
Purchases and sales	800	1,200
Sundry Debtors and creditors	400	300
Bills of exchange	120	240
Wages and salaries	560	–
Rent, rates and taxes	360	–
Sundry charges	160	–
Computers	240	
Bank balance	420	–
New York office a/c	–	1,620
	3,360	**3,360**

Additional information:

(a) Computers were acquired from a remittance of US $ 6,000 received from New York head office and paid to the suppliers. Depreciate computers at 60% for the year.

(b) Unsold stock of Mumbai branch was worth ₹ 4,20,000 on 31st March, 20X2.

(c) The rates of exchange may be taken as follows:

- on 1.4.20X1 @ ₹ 40 per US $
- on 31.3.20X2 @ ₹ 42 per US $
- average exchange rate for the year @ ₹ 41 per US $
- conversion in $ shall be made upto two decimal accuracy.

You are asked to prepare in US dollars the revenue statement for the year ended 31st March, 20X2 and the balance sheet as on that date of Mumbai branch as would appear in the books of New York head office of Carlin & Co. You are informed that Mumbai branch account showed a debit balance of US $ 39,609.18 on 31.3.20X2 in New York books and there were no items pending reconciliation.

Answer

M/s Carlin

Mumbai Branch Trial Balance in (US $) as on 31st March, 20X2

	Conversion Rate	Dr. $	Cr. $
Stock on 1.4.X1	40	7,500.00	–
Purchases and sales	41	19,512.20	29,268.29
Sundry debtors and creditors	42	9,523.81	7,142.86
Bills of exchange	42	2,857.14	5,714.29

Wages and salaries	41	13,658.54	–
Rent, rates and taxes	41	8,780.49	–
Sundry charges	41	3,902.44	–
Computers	–	6,000.00	–
Bank balance	42	10,000.00	–
New York office A/c	–	–	39,609.18
		81,734.62	**81,734.62**

Trading and Profit & Loss Account for the year ended 31st March, 20X2

Particulars	**$**	**Particulars**	**$**
To Opening Stock	7,500.00	By Sales	29,268.29
To Purchases	19,512.20	By Closing stock (4,20,000/42)	10,000.00
To Wages and salaries	13,658.54	By Gross Loss c/d	1,402.45
	40,670.74		**40,670.74**
To Gross Loss b/d	1,402.45	By Net Loss	17,685.38
To Rent, rates and taxes	8,780.49		
To Sundry charges	3,902.44		
To Depreciation on computers (US $ 6,000 × 0.6)	3,600.00		
	17,685.38		**17,685.38**

Balance Sheet of Mumbai Branch as on 31st March, 20X2

Liabilities		**$**	**Assets**		**$**
New York Office A/c	39,609.18		Computers	6,000.00	
Less: Net Loss	(17,685.38)	21,923.80	Less: Depreciation	(3,600.00)	2,400.00
Sundry creditors		7,142.86	Closing stock		10,000.00
Bills payable		5,714.29	Sundry debtors		9,523.81
			Bank balance		10,000.00
			Bills receivable		2,857.14
		34,780.95			**34,780.95**

Question 39

Moon Star has a branch at Virginia (USA). The Branch is a non-integral foreign operation of the Moon Star. The trial balance of the Branch as at 31st March, 20X3 is as follows:

Particulars	**US $**	
	Dr.	**Cr.**
Office equipment	48,000	
Furniture and Fixtures	3,200	
Stock (April 1, 20X2)	22,400	
Purchases	96,000	
Sales	–	1,66,400

Goods sent from H.O.	32,000	
Salaries	3,200	
Carriage inward	400	
Rent, Rates & Taxes	800	
Insurance	400	
Trade Expenses	400	
Head Office Account	–	45,600
Sundry Debtors	9,600	
Sundry Creditors	–	6,800
Cash at Bank	2,000	
Cash in Hand	400	
	2,18,800	**2,18,800**

The following further information is given:

(1) Salaries outstanding $ 400.

(2) Depreciate office equipment and furniture & fixtures @10% p.a. at written down value.

(3) The Head Office sent goods to Branch for ₹15,80,000.

(4) The Head Office shows an amount of ₹ 20,50,000 due from Branch.

(5) Stock on 31st March, 20X3 -$21,500.

(6) There were no transit items either at the start or at the end of the year.

(7) On April 1, 20X1 when the fixed assets were purchased the rate of exchange was ₹ 43 to one $. On April 1, 20X2, the rate was 47 per $. On March 31, 20X3 the rate was ₹ 50 per $. Average rate during the year was ₹ 45 to one $.

Prepare Trial balance incorporating adjustments given converting dollars into rupees and Trading, Profit and Loss Account for the year ended 31st March, 20X3 of the Branch as would appear in the books of Moon Star for the purpose of incorporating in the main Balance Sheet.

Answer

In the books of Moon Star

Trial Balance (in Rupees) of Virginia (USA) Branch as on 31st March, 20X3

	Dr. US $	Cr. US $	Conversion rate	Dr. ₹	Cr. ₹
Office Equipment	43,200		50	21,60,000	
Depreciation on Equipment	4,800		50	2,40,000	
Furniture and fixtures	2,880		50	1,44,000	
Depreciation on furniture	320		50	16,000	
Stock (1st April, 20X2)	22,400		47	10,52,800	
Purchases	96,000		45	43,20,000	
Sales		1,66,400	45		74,88,000
Goods sent from H.O.	32,000			15,80,000	
Carriage inward	400		45	18,000	
Salaries (3,200 + 400)	3,600		45	1,62,000	
Outstanding salaries		400	50		20,000

Rent, rates and taxes	800		45	36,000	
Insurance	400		45	18,000	
Trade expenses	400		45	18,000	
Head Office A/c		45,600			20,50,000
Trade debtors	9,600		50	4,80,000	
Trade creditors		6,800	50		3,40,000
Cash at bank	2,000		50	1,00,000	
Cash in hand	400		50	20,000	
Exc. Diff. (B.F.) trans. to foreign currency trans. reserve a/c					4,66,800
	2,19,200	**2,19,200**		**1,03,64,800**	**1,03,64,800**

Trading and Profit and Loss Account of Virginia Branch for the year ended 31st March, 20X3

Particulars	**₹**	**Particulars**	**₹**
To Opening stock	10,52,800	By Sales	74,88,000
To Purchases	43,20,000	By Closing stock	10,75,000
To Goods from Head Office	15,80,000	(21,500 US $ × 50)	
To Carriage inward	18,000		
To Gross profit c/d	15,92,200		
	85,63,000		**85,63,000**
To Salaries	1,62,000	By Gross profit b/d	15,92,200
To Rent, rates and taxes	36,000		
To Insurance	18,000		
To Trade expenses	18,000		
To Depreciation on office equipment	2,40,000		
To Depreciation on furniture and fixtures	16,000		
To Net Profit c/d	11,02,200		
	15,92,200		**15,92,200**

Question 40

M & S Co. of Lucknow has a branch (integral foreign operation) in Canberra, Australia. As on 31st March 20X2, the following ledger balances have been extracted from the books of the Lucknow office and the Canberra.

	Lucknow office (₹ In thousand)		**Canberra Branch (Aust. Dollars in thousand)**	
	Dr.	**Cr.**	**Dr.**	**Cr.**
Capital		2,000		
Reserves & Surplus		1,000		
Land	500			
Buildings (Cost)	1,000			
Buildings Depreciation Provision		200		

Plant and Machinery (Cost)	2,500		200	
Plant and Machinery Dep. Provision		600		130
Debtors/Creditors	280	200	60	30
Stock as on 1-4-20X1	100		20	
Branch Stock Reserve		4		
Cash & Bank Balances	10		10	
Purchases/Sales	240	520	20	123
Goods sent to Branch		100	5	
Managing Partner's Salary	30			
Wages and Salary	75		45	
Rent			12	
Office Expenses	25		18	
Commission Receipts		256		100
Branch/HO Current Account	120			7
	4,880	**4,880**	**390**	**390**

The following information is also available:

(i) Stock as at 31st March, 20X2 Lucknow ₹ 1,50,000 Canberra A$ 3125 (all stock are out of purchases made at Abroad)

(ii) Head Office always sent goods to the Branch at cost plus 25%

(iii) Provision is to be made for doubtful debts at 5%

(iv) Depreciation is to be provided on Buildings at 10% and on Plant and Machinery at 20% on written down value.

You are required to:

(1) Convert the Branch Trial Balance into rupees by using the following exchange rates:

Opening rate	1 A $ = ₹ 50
Closing rate	1 A $ = ₹ 53
Average rate	1 A $ = ₹ 51.00
For Fixed Assets	1 A $ = ₹ 46.00

(2) Prepare Trading and Profit and Loss Account for the year ended 31st March 20X2 showing to the extent possible H.O. results and Branch results separately.

Answer

M & S Co. Ltd.

Canberra, Australia Branch Trial Balance as on 31st March 20X2

	($ 'thousands)			(₹ 'thousands)	
	Dr.	**Cr.**	**Con. rate per $**	**Dr.**	**Cr.**
Plant & Machinery (cost)	200		₹ 46	9,200	
Plant & Machinery Dep. Provision		130	₹ 46		5,980
Trade receivable/payable	60	30	₹ 53	3,180	1,590

Stock (1.4.20X1)	20		₹ 50	1,000	
Cash & Bank Balances	10		₹ 53	530	
Purchase/Sales	20	123	₹ 51	1,020	6,273
Goods received from H.O.	5		Actual	100	
Wages & Salaries	45		₹ 51	2,295	
Rent	12		₹ 51	612	
Office expenses	18		₹ 51	918	
Commission Receipts		100	₹ 51		5,100
H.O. Current A/c		7	Actual		120
				18,855	**19,063**
Foreign Exchange Loss (bal. fig.)				208	
	390	390		**19,063**	**19,063**
Closing stock	3.125		53	165.625*	

Trading and Profit & Loss Account for the year ended 31st March, 20X2 (₹'000)

	H.O.	Branch	Total		H.O.	Branch	Total
To Opening Stock	100	1,000.00	1,100.00	By Sales	520	6,273.00	6,793.00
To Purchases	240	1,020.00	1,260.00	By Good sent to Br.	100	–	100.00
To Goods rec. from H.O.	–	100.00	100.00	By Closing Stock	150	165.62	315.62
To Wages & Salaries	75	2,295.00	2,370.00				
To Gross profit c/d	355	2,023.62	2,378.62				
	770	**6,438.62**	**7,208.62**		**770**	**6,438.62**	**7,208.62**
To Rent	–	612.00	612.00	By Gross profit b/d	355	2,023.62	2,378.62
To Office expenses	25	918.00	943.00	By Comm. receipts	256	5,100.00	5,356.00
To Pro. for debts @ 5%	14	159.00	173.00				
To Depre. (W. N.)	460	644.00	1,104.00				
To Balance c/d	112	4,790.62	4,902.62				
	611	**7,123.62**	**7,734.62**		**611**	**7,123.62**	**7,734.62**
To Man. Part's Salary			30.00	By Balance b/d			4,902.62
To Exchange Loss			208.00	By Br. stock res.			4.00
To Balance c/d			4,668.62				
			4,906.62				**4,906.62**

Working Note:

Calculation of Depreciation

		H. O. (₹ '000)	Branch (₹ '000)
Building - Cost		1,000	
Less: Depreciation Provision		(200)	
		800	
Depreciation @ 10%	(A)	80	
Plant & Machinery Cost		2,500	9,200

Less: Depreciation Provision		(600)	(5,980)
		1,900	3,220
Depreciation @ 20%	(B)	380	644
Total Depreciation	(A+B)	460	644

Question 41

DM Delhi has a branch in London which is an integral foreign operation of DM. At the end of the year 31st March, 20X5, the branch furnishes the following trial balance in U.K. Pound:

Particulars	**Dr. £**	**Cr. £**
Fixed assets (Acquired on 1st April, 20X1)	24,000	
Stock as on 1st April, 20X4	11,200	
Goods from head Office	64,000	
Expenses	4,800	
Debtors	4,800	
Creditors		3,200
Cash at bank	1,200	
Head Office Account		22,800
Purchases	12,000	
Sales		96,000
	1,22,000	**1,22,000**

In head office books, the branch account stood as shown below:

London Branch A/c

Particulars	**Amount (₹)**	**Particulars**	**Amount (₹)**
To Balance b/d	20,10,000	By Bank A/c	52,16,000
To Goods sent to branch	49,26,000	By Balance c/d	17,20,000
	69,36,000		**69,36,000**

The following further information is given:

(a) Fixed assets are to be depreciated @ 10% p.a. on WDV.

(b) On 31st March, 20X5:

Expenses outstanding	£ 400
Prepaid expenses	£ 200
Closing stock	£ 8,000

(c) Rate of Exchange:

1st April, 20X1	₹ 70 to £ 1
1st April, 20X4	₹ 76 to £ 1
31st March, 20X5	₹ 77 to £ 1
Average	₹ 75 to £ 1

You are required to prepare: (1) Trial balance, incorporating adjustments of outstanding and prepaid expenses,

converting U.K. pound into Indian rupees; and (2) Trading and profit and loss account for the year ended 31st March, 20X5 of London branch as would appear in the books of Delhi head office of DM.

Answer

Trial Balance of London Branch as on 31st March, 20X5

Particulars	U.K. Pound	Rate Per U.K. Pound	Dr. (₹)	Cr. (₹)
Fixed Assets	24,000	70	16,80,000	
Stock (as on 1st April, 20X4)	11,200	76	8,51,200	
Goods from Head Office	64,000	–	49,26,000	
Sales	96,000	75		72,00,000
Purchases	12,000	75	9,00,000	
Expenses (4,800 + 400 – 200)	5,000	75	3,75,000	
Debtors	4,800	77	3,69,600	
Creditors	3,200	77		2,46,400
Outstanding Expenses	400	77		30,800
Prepaid expenses	200	77	15,400	
Cash at Bank	1,200	77	92,400	
Head office Account		–		17,20,000
Difference in Exchange				12,400
			92,09,600	**92,09,600**

Closing stock will be (8,000 x 77) = ₹ 6,16,000

Trading and Profit & Loss A/c for the year ended 31st March, 20X5

Particulars	Amount (₹)	Particulars	Amount (₹)
To Opening Stock	8,51,200	By Sales	72,00,000
To Purchases	9,00,000	By Closing Stock	6,16,000
To Goods from H.O.	49,26,000		
To Gross Profit	11,38,800		
	78,16,000		**78,16,000**
To Expenses	3,75,000	By Gross Profit	11,38,800
To Depreciation	1,68,000	By Profit due to Exch. difference	12,400
To Net Profit	6,08,200		
	11,51,200		**11,51,200**

Working Note:

Since London Branch is an integral foreign operation. Hence, (1) Fixed assets (cost and depreciation) are translated using the exchange rate at the date of purchase of the assets. (2) Exchange difference arising on translation of the financial statement is charged to Profit and Loss Account.

Question 42

The Washington branch of XYZ Mumbai sent the following trial balance as on 31st December, 20X1:

	$	$
Head office A/c	–	22,800
Sales	–	84,000
Debtors and creditors	4,800	3,400
Machinery	24,000	–
Cash at bank	1,200	–
Stock, 1st January, 20X1	11,200	–
Goods from H.O.	64,000	–
Expenses	5,000	–
	1,10,200	**1,10,200**

In the books of head office, the Branch A/c stood as follows:

Washington Branch A/c

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	8,10,000	By Cash	28,76,000
To Goods sent to branch	29,26,000	By Balance c/d	8,60,000
	37,36,000		**37,36,000**

Goods are sent to the branch at cost plus 10% and the branch sells goods at invoice price plus 25%. Machinery was acquired in past, when $ 1.00 = ₹ 40.

Rates of exchange were:

1st January, 20X1	$ 1.00 = ₹ 46
31st December, 20X1	$ 1.00 = ₹ 48
Average	$ 1.00 = ₹ 47

Machinery is depreciated @ 10% and the branch manager is entitled to a commission of 5% on the profits of the branch.

You are required to:

(i) Prepare the Branch Trading & Profit & Loss A/c in dollars.

(ii) Convert the Trial Balance of branch into Indian currency and prepare Branch Trading & Profit and Loss A/c and the Branch A/c in the books of head office.

Answer

(i)

In the Books of Head Office

Branch Trading and Profit & Loss A/c (in Dollars) for the year ended 31st December, 20X1

Particulars	$	Particulars	$
To Opening stock	11,200	By Sales	84,000
To Goods from H.O.	64,000	By Closing stock (W.N.2)	8,000
To Gross profit c/d	16,800		
	92,000		**92,000**
To Expenses	5,000	By Gross profit b/d	16,800
To Depreciation (24,000 x 10%)	2,400		

To Manager's commission (W.N.1)	470		
To Net profit c/d	8,930		
	16,800		**16,800**

(ii) (a) Converted Branch Trial Balance (into Indian Currency)

Particulars	Rate per $	Dr. (₹)	Cr. (₹)
Machinery	40	9,60,000	–
Stock January 1, 20X1	46	5,15,200	–
Goods from head office	Actual	29,26,000	–
Sales	47	–	39,48,000
Expenses	47	2,35,000	–
Debtors & creditors	48	2,30,400	1,63,200
Cash at bank	48	57,600	–
Head office A/c	Actual	–	8,60,000
Difference in exchange rate (b.f.)		47,000	–
		49,71,200	**49,71,200**
Closing stock $ 8,000 (W.N. 2)	48	3,84,000	

(b) Branch Trading and Profit & Loss A/c for the year ended 31st December, 20X1

Particulars	$	Particulars	$
To Opening stock	5,15,200	By Sales	39,48,000
To Goods from head office	29,26,000	By Closing stock (W.N.2)	3,84,000
To Gross profit c/d	8,90,800		
	43,32,000		**43,32,000**
To Expenses	2,35,000	By Gross profit b/d	8,90,800
To Depreciation @ 10% on ₹ 9,60,000	96,000		
To Exchange difference	47,000		
To Manager's commission (W.N.1)	22,560		
To Net Profit c/d	4,90,240		
	8,90,800		**8,90,800**

(c) Branch Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	8,60,000	By Machinery (9,60,000 – 96,000)	8,64,000
To Net profit	4,90,240	By Closing stock	3,84,000
To Creditors	1,63,200	By Debtors	2,30,400
To Outstanding Commission	22,560	By Cash at bank	57,600
	15,36,000		**15,36,000**

Working Notes:

1. Calculation of manager's commission @ 5% on profit

5% of $ [16,800 – (5,000 + 2,400)] or 5% x $ 9,400 = $ 470

Manager's commission in Rupees = $ 470 x ₹ 48 = ₹ 22,560

2. Calculation of closing stock

	$
Opening stock	11,200
Add: Goods from head office	64,000
	75,200
Less: Cost of goods sold (at invoice price) (100/125 x 84,000)	(67,200)
Closing stock	**8,000**
Closing stock in Rupees = $ 8,000 x ₹ 48 = **₹ 3,84,000**	

Miscellaneous

Question 43

L Ltd. has its head office at Mumbai and two branches at Pune and Goa. The branches purchase goods independently. Pune branch makes a profit of one third on cost and Goa branch makes a profit of 20% on sales. Goods are also supplied by one branch to another at the respective sales price. From the following particulars, prepare the Trading and Profit and Loss Account of Pune branch and find out the profit or loss made by it considering the reserve for unrealised profits:

Particulars	Pune Branch (₹)	Goa Branch (₹)
Opening Stock	40,000	30,000
Purchases (Including Inter Branch transfers)	2,00,000	2,50,000
Sales	2,80,000	2,95,625
Chargeable Expenses (Direct Expense)	15,000	27,500
Closing Stock	30,000	43,500
Office and Administration Expenses	13,250	7,000
Selling and Distribution Expenses	15,000	10,000

Information:

(i) Opening stock at Pune Branch includes goods of ₹ 10,000 (invoice price) taken from Goa Branch.

(ii) Opening stock at Goa Branch includes goods of invoice price ₹ 17,000 taken from Pune Branch.

(iii) The Pune Branch sales include transfer of goods to Goa Branch at selling price ₹ 20,000

(iv) The sales of Goa Branch include transfer of goods to Pune Branch at selling price ₹ 15,000.

(v) Closing stock at Pune Branch includes goods received from Goa Branch (invoice price ₹ 5,000.

(vi) Closing stock at Goa Branch includes goods of ₹ 4,000 (invoice price).

Answer

Pune Branch Trading and Profit and Loss Account

Particulars	₹	Particulars	₹
To Opening Stock	40,000	By Sales	2,80,000
(including ₹ 10,000 from Goa Branch)		(including ₹ 20,000 to Goa Branch)	
To Purchases	2,00,000	By Closing Stock	30,000

		(including ₹ 5,000 from Goa Br.)	
To Chargeable Expenses	15,000		
To Gross Profit c/d (before making adj. for unrealised profit)	55,000		
	3,10,000		**3,10,000**
To Stock Reserve (for unrealised profit in Closing Stock lying at Goa Branch) (₹ 4,000 x 25/100)	1,000	By Gross Profit b/d	55,000
To Office & Adm. Expenses	13,250	By Stock Reserve (for unrealised profit in Opening Stock lying at Goa Br.) (₹ 17,000 x 25/100)	4,250
To Selling & Distribution Expenses	15,000		
To Net Profit	30,000		
	59,250		**59,250**

Question 44

Alpha Ltd. has a retail shop under the supervision of a manager. The ratio of gross profit at selling price is constant at 25 percent throughout the year to 31st March, 20X1.

Branch manager is entitled to a commission of 10 per cent of the profit earned by his branch, calculated before charging his commission but subject to a deduction from such commission equal to 25 percent of any ascertained deficiency of branch stock. All goods were supplied to the branch from head office.

The following details for the year ended 31st March, 20X1 are given as follows:

	₹		₹
Opening Stock (at cost)	74,736	Chargeable expenses	49,120
Goods sent to branch (at cost)	2,89,680	Closing Stock (Selling Price)	1,23,328
Sales	3,61,280		
Manager's comm. paid on account	2,400		

From the above details, you are required to calculate the commission due to manager for the year ended 31st March, 20X1.

Answer

In the books of Alpha Ltd.

Step 1: Calculation of Deficiency

Branch stock account (at invoice price)

Particulars	**₹**	**Particulars**	**₹**
To Opening Stock (₹ 74,736 + 1/3 of ₹ 74,736)	99,648	By Sales	3,61,280
		By Closing Stock	1,23,328
To Goods sent to Branch A/c (₹ 2,89,680 + 1/3 of ₹ 2,89,680)	3,86,240	By Deficiency at sale price (Bal. fig.)	1,280
	4,85,888		**4,85,888**

Step 2: Calculation of Net Profit before Commission

Branch account

Particulars	₹	Particulars	₹
To Opening Stock	99,648	By Sales	3,61,280
[₹ 74,736 + 1/3 of ₹ 74,736]		By Closing Stock	1,23,328
To Gross sent to Branch A/c	3,86,240	By Stock Reserve A/c	24,912
[₹ 2,89,680 + 1/3 of ₹ 2,89,680]		By Goods sent to Branch A/c	96,560
To Expenses	49,120		
To Stock Reserve A/c	30,832		
[₹ 1,23,328 x 25/100]			
To N.P. (subject to manager's comm.)	40, 240		
	6,06,080		**6,06,080**

Step 3: Calculation of Commission still due to manager

			₹
A	Calculation at 10% profit before charging his commission [₹ 40,240 x 10/100]		4,024
B	Less: 25% of cost of deficiency in stock [25% of (75% of ₹ 1,280)]		(240)
C	Commission for the year	(A – B)	3,784
D	Less: Paid on account		(2,400)
E	Balance due	(C – D)	**1,384**

PART - II

Fully Irrelevant Theory Questions

CHAPTER - 1
Introduction and Applicability of Accounting Standards

Question 1

What do you mean by Carve outs/ins in Ind AS? Explain.

Answer

Certain **changes have been made** in Ind AS considering the **economic environment** of the country, which is different as compared to the economic environment presumed to be in existence by IFRS. These differences are due to differences in economic conditions prevailing in India. These differences which are in deviation to the accounting principles and practices stated in IFRS, are commonly known as 'Carve-outs'. Additional guidance given in Ind AS over and above what is given in IFRS, is termed as 'Carve in'.

Question 2

Explain the significance of emergence of IFRS as Global Standards.

Answer

Global Standards **facilitate cross border** flow of money, global listing in different bourses and **comparability** of financial statements. Global Standards **improve the ability** of investors to compare investments on a global basis and thus lowers their risk of errors of judgment. It facilitates accounting and reporting for companies with global operations and eliminates some costly requirements say reinstatement of financial statements.

Question 3

Briefly explain the process of issuance of Indian Accounting Standards.

Answer

Due to the recent stream of overseas acquisitions by Indian companies, there is need for adoption of high-quality standards to **convince foreign enterprises** about the financial standing as also the disclosure and governance standards of Indian acquirers.

The Government of India in consultation with the ICAI decided to **converge and not to adopt IFRSs** issued by the IASB. The decision of convergence rather than adoption was taken after the detailed analysis of IFRSs requirements and extensive discussion with various stakeholders.

The ICAI has worked towards convergence of global accounting standards by considering the application of IFRS in Indian corporate environment. Recognizing the growing need of full convergence of Ind AS with IFRS, ICAI constituted a Task Force to examine various issues involved.

Ind AS are issued by the Central Government of India under the supervision and control of ASB of ICAI and in consultation with NFRA. NFRA recommends these standards to the MCA and MCA has to spell out the accounting standards applicable for companies in India.

CHAPTER - 5
AS 3: Cash Flow Statement

Question 1

What are the main features of the Cash Flow Statement?

Answer

According to AS 3 on "Cash Flow Statement", cash flow statement deals with the provision of information about the historical changes in cash and cash equivalents of an enterprise during the given period from operating, investing and financing activities. Cash flows from operating activities can be reported using either (a) the direct method, or (b) the indirect method. A cash flow statement when used in conjunction with the other financial statements, provides information that enables users to evaluate the changes in net assets of an enterprise, its financial structure (including its liquidity and solvency), and its ability to affect the amount and timing of cash flows in order to adapt to changing circumstances and opportunities.

Question 2

What is the significance of cash flow statement? Explain in brief.

Answer

Cash flow statement provides information about the changes in cash and cash equivalents of an enterprise. It identifies cash generated from trading operations and is very useful tool of planning.

Question 3

Explain the difference between direct and indirect methods of reporting cash flows from operating activities with reference to AS 3.

Answer

As per Para 18 of AS 3 (Revised) on Cash Flow Statements, an enterprise should report cash flows from operating activities using either:

(a) The direct method, whereby major classes of gross cash receipts and gross cash payments are disclosed; or

(b) the indirect method, whereby net profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows.

CHAPTER - 8
AS 7: Construction Contracts

Question 1

It is argued that profit on construction contracts should not be recognised until the contract is completed. Please explain whether you believe that this suggestion would improve the quality of financial reporting for long-term construction contracts.

Answer

Usually, construction contracts are long term nature i.e., the contracts are entered in one accounting period, however, the work performed will flow into more than one accounting year. If the profit on construction contracts is not recognised over the construction period, then the costs incurred during the earlier years of the contract would be recognised without any corresponding revenue. This will result in losses for initial years followed high profits in future years.

The current treatment under AS 7 results in matching of revenue and associated costs as they are recognised during the same period. Also, the current accounting incorporates the prudence concept as any foreseeable losses are accounted for immediately.

Therefore, AS 7 results in a fair representation of the underlying financial substance of the transaction.

CHAPTER - 9
AS 9: Revenue Recognition

Question 1

A claim lodged with the Railways in March 20X1 for loss of goods of ₹ 2,00,000 had been passed for payment in March 20X3 for ₹ 1,50,000. No entry was passed in the books of the Company, when the claim was lodged. Advise P Co. Ltd. about the treatment of the following in the Final Statement of Accounts for the year ended 31st March 20X3.

Answer

AS 9 on 'Revenue Recognition' states that where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, revenue recognition is postponed to the extent of uncertainty involved. When recognition of revenue is postponed due to the effect of uncertainties, it is considered as revenue of the period in which it is certain to be collected. In this case, it may be assumed that collectability of claim was not certain in earlier periods. This is supposed from the fact that only ₹ 1,50,000 were collected against a claim of ₹ 2,00,000. So, this transaction cannot be taken as a Prior Period Item.

Hence, receipt of ₹ 1,50,000 shall be recognized as revenue in year ended 31st March 20X3.

In the light of AS 5, it will not be treated as extraordinary item. However, AS 5 states that when items of income and expense within profit or loss from ordinary activities are of such size, nature, or incidence that their disclosure is relevant to explain the performance of the enterprise for the period, the nature and amount of such items should be disclosed separately. Accordingly, the nature and amount of this item should be disclosed separately.

CHAPTER - 10
AS 10: Property, Plant and Equipment (PPE)

Question 1

With reference to AS-10 Revised, classify the items under the following heads:

HEADS

(i) Purchase Price of Property, plant and Equipment (PPE)

(ii) Directly attributable cost of PPE or

(iii) Cost not included in determining the carrying amount of an item of PPE.

ITEMS

(1) Import duties and non-refundable purchase taxes.

(2) Initial delivery and handling costs.

(3) Initial operating losses, such as those incurred while demand for the output of an item builds up.

(4) Costs incurred while an item capable of operating in the manner intended by management has yet to be brought into use or is operated at less than full capacity.

(5) Trade discounts and rebates.

(6) Costs of relocating or reorganizing part or all of the operations of an enterprise.

(7) Installation and assembly costs.

(8) Administration and other general overhead costs.

Answer

Heads

(i) Purchase price of PPE

(ii) Directly attributable cost of PPE

(iii) Cost not included in determining the carrying amount of an item of PPE

Items		Classified under Head
1	Import duties and non-refundable purchase taxes	**(i)**
2	Initial delivery and handling costs	**(ii)**
3	Initial operating losses, such as those incurred while demand for the output of an item builds up	**(iii)**
4	Costs incurred while an item capable of operating in the manner intended by management has yet to be brought into use or is operated at less than full capacity	**(iii)**
5	Trade discounts and rebates (deducted for computing purchase price)	**(i)**
6	Costs of relocating or reorganizing part or all of the operations of an enterprise	**(iii)**
7	Installation and assembly costs	**(ii)**
8	Administration and other general overhead costs	**(iii)**

Question 2

Entity B constructs a machine for its own use. Construction is completed on 1st November 20X1 but the

company does not begin using the machine until 1st March 20X2. Comment.

Answer

The entity should begin charging depreciation from the date the machine is **ready for use – that is, 1st November 20X1.** The fact that the machine was not used for a period after it was ready to be used is not relevant in considering when to begin charging depreciation.

Question 3

Entity B manufactures industrial chemicals and uses blending machines in the production process. The output of the blending machines is consistent from year to year and they can be used for different products.

However, maintenance costs increase from year to year and a new generation of machines with significant improvements over existing machines is available every 5 years. Suggest the depreciation method to the management.

Answer

The **straight-line depreciation method** should be adopted, because the production output is **consistent** from year to year.

Factors such as maintenance costs or technical obsolescence should be considered in determining the blending machines' useful life.

Question 4

Entity A, a supermarket chain, is renovating one of its major stores. The store will have more available space for in store promotion outlets after the renovation and will include a restaurant. Management is preparing the budgets for the year after the store reopens, which include the cost of remodelling and the expectation of a 15% increase in sales resulting from the store renovations, which will attract new customers. State whether the remodelling cost will be capitalised or not.

Answer

The expenditure in remodelling the store will create future economic benefits (in the form of 15% of increase in sales) and the cost of remodelling can be measured reliably, therefore, it **should be capitalised**.

Question 5

An amusement park has a 'soft' opening to the public, to trial run its attractions. Tickets are sold at a 50% discount during this period and the operating capacity is 80%. The official opening day of the amusement park is three months later. Management claim that the soft opening is a trial run necessary for the amusement park to be in the condition capable of operating in the intended manner. Accordingly, the net operating costs incurred should be capitalised. Comment.

Answer

The net operating costs should not be capitalised but should be recognised in the Statement of Profit and Loss.

Even though it is running at less than full operating capacity (in this case 80% of operating capacity), there is

sufficient evidence that the amusement park is capable of operating in the manner intended by management. Therefore, these costs are specific to the start-up and, therefore, **should be expensed as incurred**.

Question 6

Entity A is a large manufacturing group. It owns a number of industrial buildings, such as factories and warehouses and office buildings in several capital cities. The industrial buildings are located in industrial zones, whereas the office buildings are in central business districts of the cities. Entity A's management want to apply the revaluation model as per AS 10 (Revised) to the subsequent measurement of the office buildings but continue to apply the historical cost model to the industrial buildings.

State whether this is acceptable under AS 10 (Revised) or not with reasons?

Answer

Entity A's management can apply the revaluation model only to the office buildings. The office buildings can be clearly distinguished from the industrial buildings in terms of their function, their nature and their general location. **AS 10** (Revised) permits assets to be revalued on a **class by class basis**.

The different characteristics of the buildings enable them to be classified as different PPE classes. The different measurement models can, therefore, be applied to these classes for subsequent measurement.

However, all properties **within the class of office buildings must be carried at revalued amount**.

Question 7

Entity A has a policy of not providing for depreciation on PPE capitalised in the year until the following year, but provides for a full year's depreciation in the year of disposal of an asset. Is this acceptable?

Answer

The depreciable amount of a tangible fixed asset should be allocated on a **systematic basis over its useful life**. The depreciation method should reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

Useful life means the period over which the asset is expected to be available for use by the entity. Depreciation should commence as soon as the asset is acquired and is available for use. Thus, the policy of Entity A is **not acceptable**.

Question 8

Entity A carried plant and machinery in its books at ₹ 2,00,000. These were destroyed in a fire. The assets were insured 'New for old' and were replaced by the insurance company with new machines that cost ₹ 20,00,000. The machines were acquired by the insurance company and the company did not receive ₹ 20,00,000 as cash compensation. State, how Entity A should account for the same?

Answer

Entity A should account for a loss in the Statement of Profit and Loss on derecognition of the carrying value of plant and machinery in accordance with AS 10 (Revised).

Entity A should separately recognise a receivable and a gain in the income statement resulting from the insurance proceeds under AS 29 (Revised) once receipt is virtually certain. The receivable should be measured at the fair value of assets that will be provided by the insurer.

Question 9

A company has debited the Building Account with the Cost of the Land on which the building stands and has provided depreciation on such total cost. Comment on the accounting treatment.

Answer

As per **AS 10**, Property, Plant and Equipment, each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item should be depreciated separately. Further, Land and buildings are separable assets and are accounted for separately, even when they are acquired together. With some exceptions, such as quarries and sites used for landfill, land has an unlimited useful life and therefore is not depreciated. Buildings have a limited useful life and therefore are depreciable assets.

In the given case, land should not be depreciated unless it has a limited useful life. Accordingly, it is **incorrect** to debit the cost of land to the Building Account and provide depreciation on the aggregate cost.

Question 10

An entity is setting up a manufacturing plant. Construction of the plant is completed in August and the plant is ready for commercial production in November. However, the entity commences production in March. When should be company start charging depreciation.

Answer

As per **AS 10**, Property, Plant and Equipment, depreciation of an asset begins when it is **available for use**, i.e., when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

In the given case, since the plant is ready for commercial production in November, depreciation shall **commence from November**. The date of commencement of commercial production is irrelevant for charging depreciation.

Question 11

An entity gave the following Note in its Financial Statements:

'The company chooses not to charge depreciation on Property, Plant and Equipment on account of:

(a) Annual Maintenance Contracts being expensed thereby ensuring timely repairs of Plant and Machinery.

(b) Depreciation being a non-cash expense has no impact on cash flows. Accordingly, it is not necessary to depreciate an asset when repairs and maintenance charges are expensed in the Statement of Profit and Loss.

(c) The values of certain assets like Property increase with passage of time, and hence charging depreciation does not make sense.

(d) At the end of the useful life, the asset is ultimately sold, and since the asset is at cost due to no

depreciation, exact profit or loss on sale of the asset is stated.'

You are required to state the appropriateness of the above accounting policy in line with the relevant Accounting Standards.

Answer

Depreciation refers to writing off the value of the asset over its useful life. Such write-off is necessitated on account of normal wear-and-tear, usage, or obsolescence. Since items of Property, Plant and Equipment are generally used in generating revenue, the pro-rated write-off in value of such item should be recorded in the books against the income earned by such an asset.

Providing depreciation is mandatory, in spite of the fact that repairs are expensed in the Statement of Profit and Loss, or the value of the Property is appreciating. Depreciation is a systematic allocation of cost of the asset against the income generated from the continued use of the asset. Further, the Companies Act, 2013 mandates depreciation to be charged in order to determine the correct profits. Thus, not charging depreciation would result in non-compliance with the Companies Act provisions as well.

The argument laid down by the company and the reasons for the same being invalid are discussed below.

(a) Annual Maintenance Contracts being expensed thereby ensuring timely repairs of Plant and Machinery:

The fact that the company enters into Annual Maintenance Contracts for timely repairs can be regarded as a running cost. Such expense is incurred in order to ensure that the machine continues to run as intended. Thus, it implies that because the machine is being utilized, it will need regular repairs. In other words, continuous use is resulting in normal wear-and-tear which is the reason why depreciation should be charged by the company. By stating that the company incurs Annual Maintenance Expenses, the company is recording only the 'maintenance expenses', but not the wear-and-tear requiring the maintenance in the first place. Hence, this argument put forth by the company is **not valid**.

(b) Depreciation being a non-cash expense has no impact on cash flows. Accordingly, it is not necessary to depreciate an asset when repairs and maintenance charges are expensed in the Statement of Profit and Loss.

When viewed from the prism of depreciation alone, it appears that the fact that depreciation is a non-cash item is correct. However, it must be noted that at the time of procurement of the asset, the company would have paid cash. Depreciation is after all writing off this amount over the life of the asset. Hence the argument that depreciation is a non-cash item is **not valid**. Depreciation is writing off the cost of the asset (which was already paid for) over the useful life of the asset, and hence is mandatory.

(c) The values of certain assets like Property increase with passage of time, and hence charging depreciation does not make sense.

Certain assets like immovable property do increase in value with the passage of time. However, such assets are 'used for the purposes of business' and are not 'held for sale' or held as investment property. Accordingly, since the asset is being used for carrying on business, providing depreciation will give a true and fair view of the results of the company, and hence the argument that the value of the property appreciates is **not valid.**

If the company wants to show the fair market value of the PPE, then it has the option to apply Revaluation model. However, depreciation is mandatory to be charged in Revaluation model also.

(d) At the end of the useful life, the asset is ultimately sold, and since the asset is at cost due to no depreciation, exact profit or loss on sale of the asset is stated.'

The value of any asset, after usage, will reduce. Accordingly, the argument that the 'exact profit or loss

on sale of the asset' will be obtained is incorrect. Due to usage of the asset, the value of the asset would be lower than the cost. Charging depreciation would seek to bring the book value approximating to such reduced value. Thereafter, on sale of the asset, the true profit or loss would be available. Accordingly, this **argument is also invalid**.

It may be pertinent to note that Accounting Standard 1, Disclosure of Accounting Policies states that Disclosure of accounting policies or of changes therein cannot remedy a wrong or inappropriate treatment of the item in the accounts. In other words, the company cannot be absolved of the fact that it has not complied with the relevant accounting standards merely by giving a disclosure of incorrect policies or practices being followed.

Thus, the company's stand of disclosing the incorrect policy as a remedy is **not correct.** The company is suggested to charge depreciation on a systematic basis over the useful life of the asset thereby complying with the Accounting Standards.

Question 12

What happens if the cost of the previous part/inspection was/was not identified in the transaction in which the item was acquired or constructed?

Answer

De-recognition of the carrying amount occurs regardless of whether the cost of the previous part/inspection was identified in the transaction in which the item was acquired or constructed.

Question 13

What will be your answer in the above question, if it is not practicable for an enterprise to determine the carrying amount of the replaced part/inspection?

Answer

It may use the cost of the replacement or the estimated cost of a future similar inspection as an indication of what the cost of the replaced part/existing inspection component was when the item was acquired or constructed.

Question 14

A company changed its method of depreciation from SLM to WDV. How should the change be recognised?

Answer

As per **AS 10**, Property, Plant and Equipment, the depreciation method applied to an asset should be reviewed at least at each financial year-end and, if there has been a significant change in the expected pattern of consumption of the **future economic benefits** embodied in the asset, the method should be changed to reflect the changed pattern. Such a change should be accounted for as a change in an accounting estimate in accordance with AS 5.

Accordingly, the change in method of depreciation should be accounting for as a **change in accounting estimate, prospectively**.

Question 15

Which factors should be considered by a company while determining useful life?

Answer

All the following factors are considered in determining the useful life of an asset:

(a) Expected **usage of the asset**. Usage is assessed by reference to the expected capacity or physical output of the asset.

(b) Expected **physical wear and tear**, which depends on operational factors such as the number of shifts for which the asset is to be used and the repair and maintenance programme, and the care and maintenance of the asset while idle.

(c) **Technical or commercial obsolescence** arising from changes or improvements in production, or from a change in the market demand for the product or service output of the asset. Expected future reductions in the selling price of an item that was produced using an asset could indicate the expectation of technical or commercial obsolescence of the asset, which, in turn, might reflect a reduction of the future economic benefits embodied in the asset.

(d) **Legal or similar limits** on the use of the asset, such as the expiry dates of related leases.

CHAPTER - 11
AS 11: The Effects of Changes in Foreign Exchange Rates

Question 1

Assets and liabilities and income and expenditure items in respect of foreign branches (integral foreign operations) are translated into Indian rupees at the prevailing rate of exchange at the end of the year. The resultant exchange differences in the case of profit, is carried to other Liabilities Account and the Loss, if any, is charged to the statement of profit and loss. Comment.

Answer

The financial statements of an integral foreign operation (for example, dependent foreign branches) should be translated using the principles and procedures described in **AS 11**. The individual items in the financial statements of a foreign operation are translated as if all its transactions had been entered into by the reporting enterprise itself.

Individual items in the financial statements of the foreign operation are translated at the actual rate on the date of transaction. For practical reasons, a rate that approximates the actual rate at the date of transaction is often used, for example, an average rate for a week or a month may be used for all transactions in each foreign currency during the period. The foreign currency monetary items (for example cash, receivables, payables) should be reported using the closing rate at each balance sheet date. Non-monetary items (for example, fixed assets, inventories, investments in equity shares) which are carried in terms of historical cost denominated in a foreign currency should be reported using the exchange date at the date of transaction.

Thus the cost and depreciation of the tangible fixed assets is translated using the exchange rate at the date of purchase of the asset if asset is carried at cost. If the fixed asset is carried at fair value, translation should be done using the rate existed on the date of the valuation. The cost of inventories is translated at the exchange rates that existed when the cost of inventory was incurred and realizable value is translated applying exchange rate when realizable value is determined which is generally closing rate.

Exchange difference arising on the translation of the financial statements of integral foreign operation should be charged to profit and loss account. Exchange difference arising on the translation of the financial statement of foreign operation may have tax effect which should be dealt as per AS 22 'Accounting for Taxes on Income'.

Thus, the treatment by the management of translating all assets and liabilities; income and expenditure items in respect of foreign branches at the prevailing rate at the year end and also the treatment of resultant exchange difference is **not in consonance with AS 11.**

Question 2

Explain "monetary item" as per Accounting Standard 11. How are foreign currency monetary items to be recognized at each Balance Sheet date?

Answer

As per **AS 11** 'The Effects of Changes in Foreign Exchange Rates', Monetary items are money held and assets and liabilities to be received or paid in **fixed or determinable amounts** of money.

Foreign currency monetary items should be reported using the closing rate at each balance sheet date. However, in certain circumstances, the closing rate may not reflect with reasonable accuracy the amount in

reporting currency that is likely to be realized from, or required to disburse, a foreign currency monetary item at the balance sheet date. In such circumstances, the relevant monetary item should be reported in the reporting currency at the amount which is likely to be realized from or required to disburse, such item at the balance sheet date.

Question 3

Distinguish Non-Integral Foreign Operation (NFO) with Integral Foreign Operation (IFO) as per AS 11.

Answer

As per AS 11, Integral foreign operation (IFO) is a foreign operation, the activities of which are an integral part of those of the reporting enterprise. A foreign operation that is integral to the operations of the reporting enterprise carries on its business as if it were an extension of the reporting enterprise's operations. In contrast, a non-integral foreign operation (NFO) is a foreign operation that is not an integral operation. For details, refer para 2.5 of chapter.

Question 4

Classify the following items as monetary or non-monetary item:

Inventories,

Trade Receivables,

Investment in Equity shares,

Property, Plant and Equipment.

Answer

Inventories	Non-monetary
Trade receivables	Monetary
Investment in equity shares	Non-monetary
Property, Plant and Equipment	Non-monetary

CHAPTER - 12
AS 12: Accounting for Government Grants

Question 1

AS 12 deals with recognition and measurement of government grants. Please elaborate the parameters which are required to be met before an entity can recognise government grants in its books?

Answer

A government grant is recognised when there is reasonable assurance that:

- the enterprise will comply with the conditions attaching to it; and
- the grant will be received.

Receipt of a grant is not of itself conclusive evidence that the conditions attaching to the grant have been or will be fulfilled.

CHAPTER - 13
AS 13: Accounting for Investments

Question 1

Briefly explain disclosure requirements for Investments as per AS-13.

Answer

The disclosure requirements as per AS 13 (Revised) are as follows:

(i) Accounting policies followed for the determination of carrying amount of investments.

(ii) Classification of investment into current and long term.

(iii) The amount included in profit and loss statements for

  (a) Interest, dividends and rentals for long term and current investments, disclosing therein gross income and tax deducted at source thereon;

  (b) Profits and losses on disposal of current investment and changes in carrying amount of such investments;

  (c) Profits and losses and disposal of long term investments and changes in carrying amount of investments.

(iv) Aggregate amount of quoted and unquoted investments, giving the aggregate market value of quoted investments;

(v) Any significant restrictions on investments like minimum holding period for sale/disposal, utilisation of sale proceeds or non-remittance of sale proceeds of investment held outside India.

(vi) Other disclosures required by the relevant statute governing the enterprises

Question 2

How will you classify the investments as per AS 13? Explain in Brief.

Answer

The investments are classified into two categories as per AS 13, viz., **Current Investments and Long-term Investments.**

A current Investment is an investment that is by its nature readily realisable and is intended to be held for not more than one year from the date on which such investment is made. The carrying amount for current investments is the lower of cost and fair value. Any reduction to fair value and any reversals of such reductions are included in the statement of profit and loss.

A long-term investment is an investment other than a current investment. Long term investments are usually carried at cost. However, when there is a decline, other than temporary, in the value of a long term investment, the carrying amount is reduced to recognise the decline. The reduction in carrying amount is charged to the statement of profit and loss.

Question 3

Whether the accounting treatment 'at cost' under the head ‘Long Term Investments’ without providing for

any diminution in value is correct and in accordance with the provisions of AS 13. If not, what should have been the accounting treatment in such a situation? Explain in brief.

Answer

The accounting treatment 'at cost' under the head 'Long Term Investment' in the financial statements of the company without providing for any diminution in value is correct and is in accordance with the provisions of AS 13 provided that there is no decline, other than temporary, in the value of investment. If the decline in the value of investment is, other than temporary, compared to the time when the shares were purchased, provision is required to be made.